

SCAN AIR

Type of Case: Strategy

Company: McKinsey

Your Client is Scan Air, a mid size Scandinavian airline. The airline has 100 aircraft, 22,000 employees worldwide, a strong cash flow and nearly zero debt. The airline focuses on business passengers. The current CEO is leaving. Most flights fly into or out of a single hub in Scandinavia. Most flights have flights connecting in central Europe and N. America with Asia. Scan Air has previously ignored the trend toward global alliances.

Situation: Profits are eroding. Scan Air wants to “get in shape quickly.” They want to maintain their previous situation, fend off competition, and decrease their cost base.

Question 1: What things do you want to look at?

Question 2: Scan Air is currently not engaged in alliances with other airlines and the CEO wants recommendations on what they should consider when determining if they should enter into one.

Question 3: Scan Air has entered into negotiations with a potential alliance partner. What will be the major issues you think they will discuss?

Question 4: The new CEO wants to announce that Scan Air will achieve a 10% profit margin before tax. What load factor per flight is required to achieve this goal? Is this ratio achievable?

Question 5: You are having a team meeting with the CEO. What do you plan to say?

Information: *Information to give*
 Load factor = # of passengers / # of seats
 Average flight = 1000 miles
 Seats per plane = 200
 Fixed cost per plane per flight = \$20,000
 Earn \$0.25 per passenger per flight mile
 Cost / mile = \$0.10 per seat (filled or not)

Information if asked
 Current load factor = 75%

Answer 1: Profit = Revenue – Costs
 Revenue = Pricing * Volume

- Pricing
 - Business Pricing – last minute, frequent flyers, pay higher prices
 - Vacation Pricing – purchased in advance, fly on holidays, price sensitive
- Volume
 - New cities
 - New times
 - Investigate plane utilization and capacity
 - Alliances

Costs = Variable Costs + Fixed Costs

- Fixed Costs
 - Gates
 - Airplanes
 - Maintenance
 - Out source
 - Sell out
 - Rent
- Variable Costs
 - Fuel (Hedge?)
 - Labor
 - Unionized
 - Hiring & Pay differences
 - Ticket booking
 - Food etc.

Answer 2: How will an alliance help Scan Air?
 Improve ability to attract and retain customers
 Reduce costs
 Reduce competition, compete better
 Will partner fit with Scan Air?
 Image, service, systems

Answer 3: How to share revenue
 How to integrate systems
 How to split advertising costs, and maintain brand image

Answer 4: Costs = Fixed costs + Variable costs
 Costs = \$20,000 + \$0.10 * 200 seats * 1000 miles = \$40,000

Profit margin = (Revenue – Cost) / Revenue
 10% = (Revenue - \$40,000) / Revenue
 Revenue = \$44,444

Revenue = revenue per mile * # mile * # of passengers
 # of passengers = Revenue / (revenue per mile * # mile)
 # of passengers = \$44,444 / (\$0.25 * 1000) = 176

Load factor = # of passengers / # of seats = 176 / 200 = 89% ~ 90%

75% → 90% is a 20% increase, and is a difficult number to reach

NEWSPAPER SUBSIDIARY VALUATION

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